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E. Business Process Outsourcing (BPO) and Knowledge Process Outsourcing (KPO)

Meaning

BPO means getting contractual services of external companies or group of companies to complete special work or process of a company. For example call centres, data entry etc. This reduces the expenditure by using cheap labour available in developing countries like Indian, China etc.

Need for BPO

1. To focus on key function
2. benefit of specialization / efficiency
3. cost cutting
4. Economic growth and development
5. Increasing profit
6. Catering to the dynamic demand





Knowledge Process Outsourcing (KPO)

Meaning

KPO refer to outsourcing of Knowledge based Process. It means obtaining high end knowledge work from outside the organization in order to run the business successfully and in cost effective manner. In short KPO firms get knowledge related, information related, work done from outside firm and it involves high value work carried highly skilled staff.

Need for KPO

1. Usage of best skills
2. Ultimate use of knowledge
3. Finding solution to complex problem